

applause from their acolytes and that excludes adverse opinion or criticism. They are thus admirably protected in what may be a serious commitment to error.

Another factor is at work here. Those with money to lend are, by long force of habit, tradition, and more especially the needs and desires of borrowers, accorded a special measure of deference in daily routine. This is readily transmuted by the recipient into an assurance of personal mental superiority. Treated that way, I must be wise. In consequence, self-scrutiny—the greatest support to minimal good sense—is at risk.

This is no exercise in idle theory. In the 1970s, it was the greatest of the New York banks and bankers that, praising their own success in recycling Arab oil revenues, made those durably unfortunate loans to Latin America and to Africa and Poland. It was intellectually questionable men in intimate and protected association with large assets who fed money through the ridiculous Penn Square Bank in Oklahoma City to the outstretched hands in the neighboring oil patch. And in Dallas and Houston to the manifold disasters of the great Texas oil and real estate speculations. And who, across the country in the 1980s, initiated and exploited the terrible savings and loan debacle.

In the chapters that follow, we will see, and repeatedly, how the investing public is fascinated and captured by the great financial mind. That fascination derives, in turn, from the scale of the financial operations and the feeling that, with so much money involved, the mental resources behind them cannot be less.

Only after the speculative collapse does the truth emerge. What was thought to be unusual acuity turns out to be only a fortuitous and unfortunate association with the assets. Over the long years of history, the result for those who have been thus misjudged (including, invariably, by themselves) has been opprobrium followed by personal disgrace or a retreat into the deeper folds of obscurity. Or it has been exile, suicide, or, in modern times, at least moderately uncomfortable confinement. The rule will often be here reiterated: *financial genius is before the fall*.

I turn now to specific features of the speculative episode.

Uniformly in all such events there is the thought that there is something new in the world. It can, as we shall see, be one of the many things. In